

E-commerce

business. technology. society.

E-commerce Business Models and Concepts

E-commerce Business Models

- Business model
  - Set of planned activities designed to result in a profit in a marketplace
- Business plan
  - Describes a firm's business model
- E-commerce business model
  - Uses/leverages unique qualities of Internet and Web

8 Key Elements of a Business Model

1. Value proposition
2. Revenue model
3. Market opportunity
4. Competitive environment
5. Competitive advantage
6. Market strategy
7. Organizational development
8. Management team

1. Value Proposition

- Why should the customer buy from you?
- Successful e-commerce value propositions:
  - Personalization/customization
  - Reduction of product search, price discovery costs
  - Facilitation of transactions by managing product delivery

2. Revenue Model

- How will the firm earn revenue, generate profits, and produce a superior return on invested capital?
- Major types:
  - Advertising revenue model
  - Subscription revenue model
  - Transaction fee revenue model
  - Sales revenue model
  - Affiliate revenue model

3. Market Opportunity

- What marketspace do you intend to serve and what is its size?
  - **Marketspace:** Area of actual or potential commercial value in which company intends to operate
  - **Realistic market opportunity:** Defined by revenue potential in each of market niches in which company hopes to compete
- Market opportunity typically divided into smaller niches

4. Competitive Environment

- Who else occupies your intended marketspace?
  - Other companies selling similar products in the same marketspace
  - Includes both direct and indirect competitors
- Influenced by:
  - Number and size of active competitors
  - Each competitor's market share
  - Competitors' profitability
  - Competitors' pricing

5. Competitive Advantage

- What special advantages does your firm bring to the marketspace?
  - Achieved when firm produces superior product or can bring product to market at lower price than competitors
- Important concepts:
  - Asymmetries (not same)
  - First-mover advantage
  - Unfair competitive advantage (Uniqueness)
  - Leverage (Positive effect)

6. Market Strategy

- How do you plan to promote your products or services to attract your target audience?
  - Details how a company intends to enter market and attract customers
  - Best business concepts will fail if not properly marketed to potential customers

7. Organizational Development

- What types of organizational structures within the firm are necessary to carry out the business plan?
- Describes how firm will organize work
  - Typically divided into functional departments
  - Hiring moves from generalists to specialists as company grows

8. Management Team

- What kinds of experiences and background are important for the company's leaders to have?
  - Employees are responsible for making the business model work
  - Strong management team gives instant credibility to outside investors
  - Strong management team may not be able to saving a weak business model, but should be able to change the model and redefine the business as it becomes necessary

Categorizing E-commerce Business Models

- No one correct way
- We categorize business models according to:
  - E-commerce sector (B2C, B2B, C2C)
  - Type of e-commerce technology; i.e., m-commerce
- Similar business models appear in more than one sector
- Some companies use multiple business models; e.g., eBay

B2C Business Models: Portal

- Search plus an integrated package of content and services
- Revenue models:
  - Advertising, subscription fees, transaction fees
- Variations:
  - Horizontal/General
  - Vertical/Specialized
  - Pure Search

B2C Models: E-tailer

- Online version of traditional retailer
- Revenue model: Sales
- Variations:
  - Virtual merchant
  - Bricks-and-clicks (Online and physical stores)
  - Catalog merchant
  - Manufacturer-direct
- Low barriers to entry

B2C Models: Content Provider

- Digital content on the Web
  - News, music, video
- Revenue models:
  - Subscription; pay per download (micropayment); advertising; affiliate referral fees
- Variations:
  - Content owners
  - Web aggregators

B2C Models: Transaction Broker

- Process online transactions for consumers
  - Primary value proposition—saving time and money
- Revenue model:
  - Transaction fees
- Industries using this model:
  - Financial services
  - Travel services
  - Job placement services

B2C Models: Market Creator

- Uses Internet technology to create markets that bring buyers and sellers together
- Examples:
  - Priceline
  - eBay
- Revenue model: Transaction fees

B2C Models: Service Provider

- Online services
  - e.g., Google: Google Maps, Google Docs, and so on
- Value proposition
  - Valuable, convenient, time-saving, low-cost alternatives to traditional service providers
- Revenue models:
  - Sales of services, subscription fees, advertising, sales of marketing data

B2C Models: Community Provider

- Provides online environment (social network) where people with similar interests can transact, share content, and communicate
  - E.g., Facebook, MySpace, LinkedIn
- Revenue models:
  - Advertising fees, subscription fees, sales revenues, transaction fees, affiliate fees

B2B Business Models

- Net marketplaces
  - E-distributor
  - E-procurement
  - Exchange
  - Industry consortium
- Private industrial network
  - Single firm
  - Industry-wide

B2B Models: E-distributor

- Supplies products and services directly to individual businesses
- Owned by one company seeking to serve many customers
- Revenue model: Sales of goods
- Example: Grainger.com

B2B Models: E-procurement

- Creates and sells access to digital electronic markets
  - Includes B2B service providers, application service providers (ASPs)
- Revenue model:
  - Transaction fees, usage fees, annual licensing fees
- Example: Ariba

B2B Models: Exchanges

- Electronic digital marketplace where suppliers and purchasers conduct transactions
  - Usually owned by independent firms whose business is making a market
  - Usually serve a single vertical industry
- Revenue model: Transaction, commission fees
- Create powerful competition between suppliers
- Number has dropped dramatically

B2B Models: Industry Consortia

- Industry-owned vertical marketplaces that serve specific industries (e.g., automobile, chemical)
- More successful than exchanges
  - Sponsored by powerful industry players
  - Strengthen traditional purchasing behavior
- Example: Exostar

Private Industrial Networks

- Designed to coordinate flow of communication among firms engaged in business together
  - Electronic data interchange (EDI)
- Single firm networks
  - Most common form
  - Example: Wal-Mart's network for suppliers
- Industry-wide networks
  - Often evolve out of industry associations
  - Example: Agentrics

Business Models in Emerging E-commerce Areas

- Consumer-to-consumer (C2C)
  - Examples: eBay, Half.com
- Peer-to-peer (P2P)
  - Examples: The Pirate Bay, Cloudmark
- M-commerce:
  - E-commerce models using wireless technologies
  - Technology platform continues to evolve
  - In the United States, demand still highest for digital content like ring tones

E-commerce Enablers: The Gold Rush Model

- E-commerce infrastructure companies:
  - Hardware, software, networking, security
  - E-commerce software systems, payment systems
  - Media solutions, performance enhancement
  - CRM software
  - Databases
  - Hosting services, etc.

How the Internet and the Web Change Business

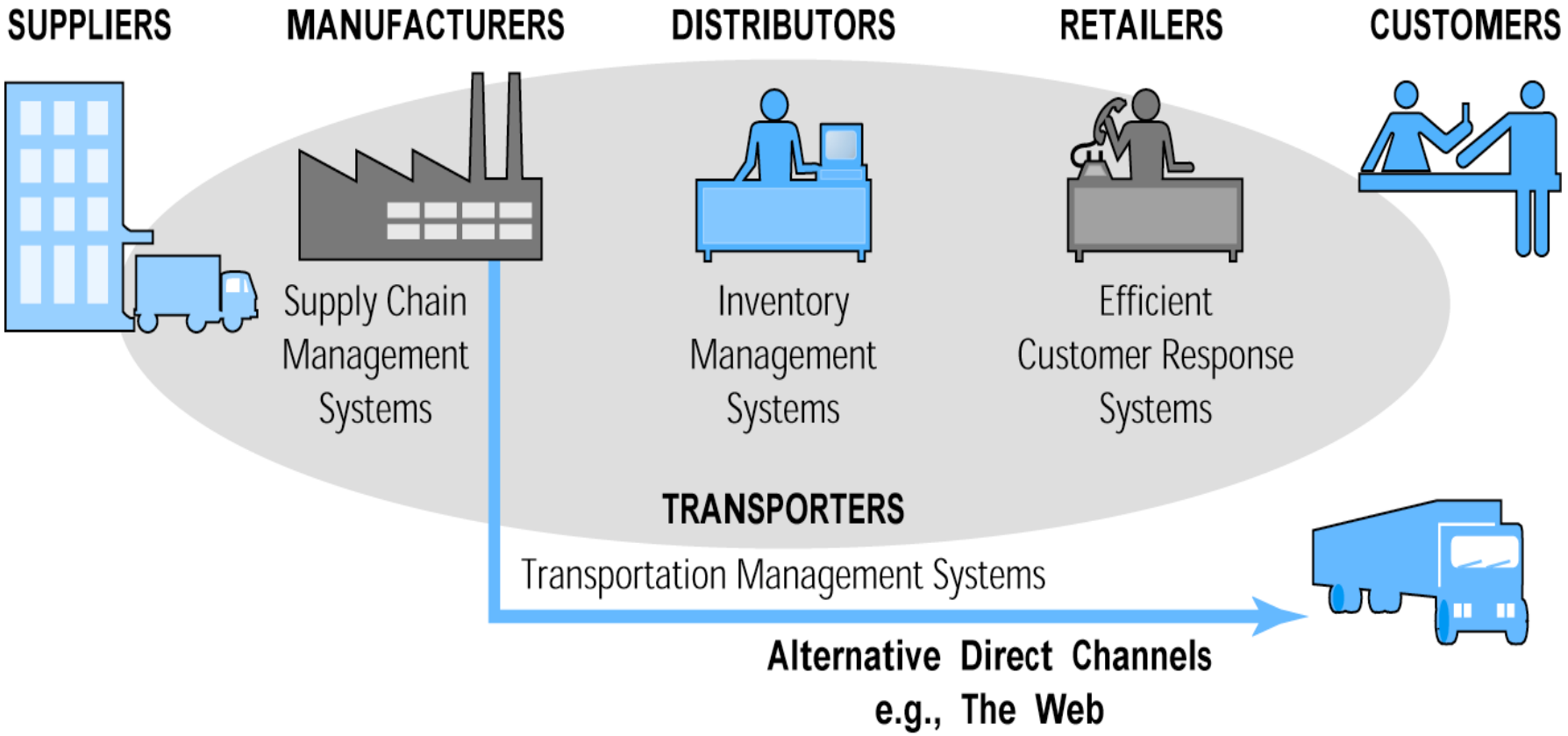
- E-commerce changes industry structure by changing:
  - Basis of competition among rivals
  - Barriers to entry
  - Threat of new substitute products
  - Strength of suppliers
  - Bargaining power of buyers

Industry Value Chains

- Set of activities performed by suppliers, manufacturers, transporters, distributors, and retailers that transform raw inputs into final products and services
- Internet reduces cost of information and other transactional costs
- Leads to greater operational efficiencies, lowering cost, prices, adding value for customers

E-commerce and Industry Value Chains

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Firm Value Chains

- Activities that a firm engages in to create final products from raw inputs
- Each step adds value
- Effect of Internet:
  - Increases operational efficiency
  - Enables product differentiation
  - Enables precise coordination of steps in chain

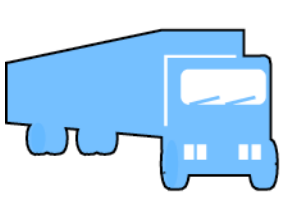
E-commerce and Firm Value Chains

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Administration
Human Resources
Information Systems
Procurement
Finance/Accounting

SECONDARY ACTIVITIES

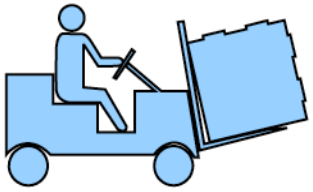
PRIMARY ACTIVITIES



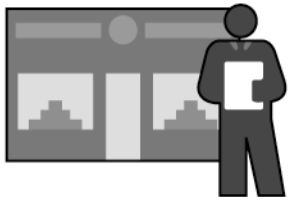
Inbound Logistics



Operations



Outbound Logistics



Sales and Marketing



After Sales Service

Business Strategy

- Plan for achieving superior long-term returns on the capital invested in a business firm
- Four generic strategies
  1. Differentiation
  2. Cost
  3. Scope
  4. Focus